

Professorship of Corporate Law

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Business Law

Contract Law I – Case facts 1-7

Summer term 2026



Case 1 – Facts

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G has a green thumb and a beautiful garden. In summer G wants to travel to Spain. He asks his neighbor (N) if she can water the garden during the five days of his absence. N agrees, because she wants to help G among neighbors. G and N did not talk about any compensation for N.

Two weeks later, N wins a short trip in the lottery. So she won't be able to water the garden for at least 3 days. G should thus look out for other help. G thinks N has to keep her word.

Question: Did G and N conclude a contract?

Case 2 – Facts

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I is interested in buying a watch out of collector C's collection. With this request I approaches C. The two of them form an “agreement” saying C will sell a blue chronograph to I.

Question: Is there a valid contract?

Case 3 – Facts

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Painter (P) plans to sell an oil painting. Thus, he advertises it in the local newspaper. The advertisement states a price of 500€. Art lover (A), always looking for extraordinary paintings, reads it and writes P the following letter:

“Dear P, I hereby buy the painting that was advertised in the newspaper for 500€. - A”

P writes back that he is very sorry, but he has already sold the painting.

Question: Is there a binding contract between P and A?

Case 4 – Facts

5

Customer (C) visits a supermarket, which is operated by S. C notices a yellow sign stating a discounted price of 2€ per bowl of strawberries (instead of 3€ each). She grabs a bowl and proceeds to the checkout. S scans the item and asks C to pay 3€. When C mentions the special offer sign, S replies that this must be a mistake and insists on the payment of the higher price.

However, C disagrees and refers to a formation of contract at a price of 2€.

Question: Have they concluded a purchase agreement at a price of 2€ per bowl?

Case 5 – Facts

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Customer (C) visits Fiona's furniture store to buy a sofa. Fiona (F) highly recommends the couch "Relax" and offers C a discounted price of 1,100€. C wants to discuss the issue with his girlfriend (G) and leaves the store.

A few days later, he succeeds in convincing G to go ahead with the purchase. He immediately writes an email to F saying that he would buy the couch on the terms indicated. However, F replies that due to a very recent price increase she can only offer a price of 1,300€. C thinks that this is quite expensive. He writes back that he understands F's position, but the price is just too high. He would be willing to pay 1,200€ instead. C never heard back from F.

Question: Did C and F conclude a purchase agreement?

Presumed they have, when did they do so?

Case 6 – Facts

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Emma (E) is a sports car enthusiast and wants to rent a cabriolet. On Monday morning she finds a brochure of the car rental of Carl (C). When E tries to call C, she receives information from the answering machine that the rental is closed.

However E decides to write the following letter to C later that day:

“I hereby rent a cabriolet from the middle category for next Saturday.”

The letter is put into C’s postbox by the postman on Tuesday morning. On Wednesday morning, E is informed that she will have to work on that Saturday. E immediately sends an email to C and informs him that, with deep regret, she has to cancel the “reservation” of the cabriolet.

Case 6 – Facts

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C hasn't read E's letter yet. After reading E's email, he refers to the "formed contract" and demands the payment of the rent.

Questions:

- a) Did E and C conclude a valid rental agreement (§ 535 BGB)?
- b) If so, can B claim payment of the rent (§ 535 II BGB)?

Case 7 – Facts

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A manufacturer of sports equipment (M) meets with a producer of machines (P). M has been a long-time customer of P. On an individual appointment P presents M a newly developed machine.

M believes that the machine would be useful in his production, so he sits down with P and negotiates. Even though they agreed on the price, some aspects still need to be figured out. In particular, P needs to check whether he can secure the supply of spare parts for M in the years to come. In addition, P needs to double check with his staff the delivery time and costs. M leaves saying that “he would get back to P to put the negotiations in writing”.

Case 7 – Facts

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The following morning, M sends P an e-mail:

“I am in principle willing to go ahead with the purchase of three machines. I am happy about our discussions yesterday which we left at the following state:

- *Price of 21.000€ per machine*
- *Delivery costs (unclear)*
- *Delivery time in about 2-4 months (unclear)*
- *Spare part availability for the machine (not yet secured)*

If there are any new developments, please come back to me.”

A week later, P gets back to M stating that he would be able to provide M with free delivery in three months and that he has secured spare part availability. He is thus happy to confirm the order for 21.000€ per machine.

Case 7 – Facts

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M is surprised by the late reply. He thinks that he has not placed a binding order with P. Instead, he received a better offer from P's competitor (C), which he accepted in the meantime.

Question:

Have M and P concluded a contract?